Debt-Equity Ratio

This is the ratio of total debt to equity. As seen, the debt is quite low compared to Total Equity. We can say that for every 100 rupees in equity, company owes roughly 25 rupees in debt. We see that the debt of the company is quite controlled.

Debt-Equity Ratio

PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Long term Liabilities						
Interest Coverage Ratio	81.0	82.2	78.5	47.5	41.3	40.0
Debt- Equity Ratio	8%	8%	8%	7%	13%	15%
Effective Borrowing Cost	17%	14%	13%	23%	13%	13%
Credit Rating of the firm over years		CRISIL	CRISIL	CRISIL	CRISIL	CRISIL

As seen, around 8-15% is financed by debt, and larger chunk of capital is financed by equity. The debt ratio here stands at 8% for FY 2016, 8% for FY 2017, 8% for FY 2018, 7% for FY 2019, 13% for FY 2020, and 15% for FY 2021. This is quite low out of the total equity of the company.

Effective Borrowing Cost

Effective Borrowing Cost is the cost at which the company borrows. This can be calculated as Finance Costs/ Total Debt.

PARTICULARS	FY 2016	FY 2017	FY 2018	FY 2019	FY 2020	FY 2021
Long term Liabilities						
Interest Coverage Ratio	81.0	82.2	78.5	47.5	41.3	40.0
Debt- Equity Ratio	8%	8%	8%	7%	13%	15%
Effective Borrowing Cost	17%	14%	13%	23%	13%	13%
Credit Rating of the firm over years		CRISIL	CRISIL	CRISIL	CRISIL	CRISIL

As seen, the company has both long-term and short-term borrowings. Going to notes to accounts, we can look at cost of debt as reported by the company.